

LOLC Islamic Banking

An Overview of Shari'ah-Compliant Financial Solutions

About the Islamic Business Unit

LOLC Group operates a dedicated Islamic Business Unit (branded in different markets as 'Al-Falaah') to serve customers who wish to access financial services structured in line with Islamic jurisprudence. The unit was created to widen access to finance for communities who are unable to use interest-based (riba) products, and to offer asset-backed, profit-and-loss-sharing alternatives to conventional banking.

Core Product Lines

Product	Type	What it replaces	How it works
Mudarabah	Savings / Investment	Fixed deposits	Bank and depositor share profits from bank-managed investments
Ijarah	Asset Financing	Leasing	The bank purchases an asset and leases it to the customer for a fixed period
Murabaha	Trade Financing	Working-capital loans	The bank buys goods and resells them to the customer at a discount
Diminishing Musharakah	Property / Project Financing	Mortgages / project loans	Bank and customer jointly own an asset; the customer buys out the bank's share over time

Guiding Principles

- Riba (interest) is excluded from every product structure.
- Financing is asset-backed rather than purely monetary, tying returns to real economic activity.
- Risk and reward are shared between the bank and the customer rather than being borne solely by the borrower.
- A Shari'ah Supervisory Board of qualified scholars reviews and approves products before launch.

Regulatory Context (Pakistan)

In Pakistan, Islamic banking activity is overseen by the State Bank of Pakistan through its Islamic Finance Department and Shari'ah Advisory Committee, which licenses Islamic banks and conventional banks offering Islamic banking windows, approves Shari'ah-compliant instruments, and issues guidelines covering modes of financing such as Musharakah, Mudarabah, Murabaha, Musawamah, Ijarah, Salam and Istisna.

Note: This document is a general informational summary compiled from publicly available sources for reference purposes. For exact product terms, profit-sharing ratios, eligibility criteria and Shari'ah compliance certificates for LOLC's current Pakistan Islamic Banking offering, please refer to lolc.com.pk or contact LOLC directly, as offerings can vary by market and

change over time.